RAR Contract Reversal Process

Based on the conversation thread you've shared, I can provide some clarification on the EBD reversal process specific to your situation:

RAR Contract Reversal Process - Key Points

1. **Manual Posting Limitations**:
    - Your manual posting is only updating the GL total balance
    - It's not clearing the contract-specific balances in RAR
    - This is expected behavior since manual entries don't reconcile with the RAR contract system
2. **Recommended Approach - Reverse the RAI**:
    - To properly clear everything in the system, you should reverse the RAI (Revenue Accounting Interface)
    - This comprehensive approach will:
        - Clear the UR (Unbilled Revenue)
        - Reverse RV (Revenue) automatically
        - Update the contract-specific balances in RAR
3. **Important System Behavior**:
    - Manual entries only reverse the financial books but leave records in the FARR_D_POSTING table
    - For clean RAR records, the RAI reversal is necessary
4. **Timing Considerations**:
    - Reversal postings will happen in the current period only
    - Backdating isn't possible if previous periods are closed in RAR
    - This is important for accounting reconciliation
5. **Accounting Implications**:
    - Your accounting team should document this timing difference
    - They should be prepared to explain this to auditors if questions arise

Step-by-Step Guide to Perform RAI Reversal for EBD Transaction

Here's a detailed walkthrough of how to perform an RAI reversal to properly clear both GL and RAR contract balances:

Phase 1: Preparation

1. **Identify Original Transaction**
    - Locate the original EBD transaction in BRIM using the transaction ID or contract details
    - Note down the RAI document number, posting date, and amount
    - Verify the current status of the transaction in both BRIM and RAR
2. **Gather Required Information**
    - Contract number and all associated line items
    - Original RAI document reference
    - GL account codes affected (Revenue, Unbilled Revenue)
    - Business unit and cost center information

Phase 2: RAI Reversal Execution

1. **Access the RAI Reversal Function**
    - Navigate to the RAI module in your system
    - Select "Reversal" or "Adjustment" option (system-specific terminology may vary)
    - Enter your authorization credentials if prompted
2. **Enter Reversal Details**
    - Input the original RAI document number in the reference field
    - Select "Full Reversal" option (or partial if applicable)
    - Input the reason code for reversal (typically "Correction" or "Error")
    - Add any required explanatory notes for audit purposes
3. **Execute and Confirm Reversal**
    - Submit the reversal for processing
    - The system will automatically generate a reversal document with negative values
    - Note the new reversal document ID for future reference
    - Confirm that the status shows "Posted" or "Completed"

Phase 3: Validation and Reconciliation

1. **Verify BRIM System Update**
    - Check the transaction status in BRIM shows as "Reversed"
    - Verify the GL entries show both original and reversal entries
    - Confirm that the net effect on GL balances is zero
2. **Validate RAR Clearing**
    - Navigate to RAR contract inquiry screen
    - Verify that the contract balance shows as cleared

- Check the FARR_D_POSTING table to confirm reversal entries exist
- Confirm that UR (Unbilled Revenue) and RV (Revenue) both show zero net balance

3. **Review System Tables**
    - Check that entries exist in both the original and reversal direction in:
        - FARR_D_POSTING table
        - BRIM transaction history
        - GL posting logs
    - Verify transaction status flags indicate "Reversed" or "Cleared"

Phase 4: Documentation and Notification

1. **Generate Reversal Reports**
    - Create and save the reversal confirmation report
    - Document the before and after status of the contract in RAR
    - Save screenshots of cleared status if needed for audit
2. **Notify Stakeholders**
    - Inform accounting team of completed reversal
    - Update any open items or issue logs
    - Document the timing difference (current period posting) for financial reporting

Important Notes:

1. **Timing Implications**
    - Since the reversal will post in the current period (not backdated), there may be timing differences in financial reports
    - Your accounting team should document this as a reconciling item
2. **System-Specific Considerations**
    - Some system configurations may require additional steps or approvals
    - If your RAI module is integrated with other systems, verify synchronization
3. **Audit Trail Maintenance**
    - Maintain comprehensive documentation of the reversal reason and process
    - This is crucial for future audit inquiries